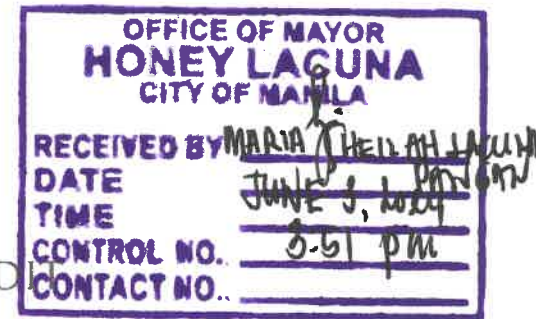




REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

**LOCAL GOVERNMENT AUDIT SECTOR
NATIONAL CAPITAL REGION**



May 30, 2024

Honorable MARIA SHEILAH “Honey” H. LACUNA-PANGAN, MD, FPDS
City Mayor
City of Manila

Dear Honorable Mayor Lacuna-Pangan:

We are pleased to transmit the Annual Audit Report on the City of Manila for Calendar Year 2023, pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The Report consists of the Independent Auditor’s Report, Audited Financial Statements, Observations and Recommendations, and the Status of Implementation of Prior Years’ Audit Recommendations.

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the City's financial statements in view of the significance of the exceptions noted in the audit as stated in the Independent Auditor’s Report.

The significant observations and recommendations that need immediate action are as follows:

1. Insufficient imposition of Real Property Tax and Special Education Tax by the City due to: a) misplaced application of the Assessment Levels (ALs) prescribed under Section 12 of Ordinance No. 8331, s. 2013; and b) omission of 1,130 Real Property Units (RPU) in the Assessment Rolls (AR) contrary to Section 2, Chapter II, Manual on Real Property Appraisal and Assessment Operations, thereby diminishing the City’s earnings to be utilized to finance its programs/projects/activities.

We recommended and the Management agreed that:

a. The Office of the City Assessor –

- Ensure that ALs and Assessed Values are accurately computed and provided;
- Submit to the Auditor’s Office the updated copies of Tax Declaration as proof of corrections/updates made to the 452 RPU; and

- Appraise and assess the RPUs not included in the AR and submit copies of tax declaration as proof appraisal and assessment;
 - Review other tax maps not included in the sample to ensure that RPUs inscribed therein are included in the AR; and
 - Henceforth, ascertain that RPUs in the tax maps are included in the AR.
- b. The Office of the City Treasurer charge and collect from taxpayers the amount of P3,336,539.51 that were under imposed in CY 2023 due to erroneous application of the Assessment Level, and henceforth, ensure that correct amount of taxes is imposed/collected.
2. A total of P472.415 million withheld for CY 2023 remittances to the BIR, GSIS, Pag-IBIG and PhilHealth have not been remitted by the City contrary to existing rules and regulations.

We recommended and Management agreed to ensure prompt and full remittance of all withholding taxes, contributions, premium payments, loan amortization and other amounts due to the BIR, GSIS, Pag-IBIG and PhilHealth pursuant to the above-mentioned regulations.

The audit observations together with the recommended courses of action, which were discussed with the concerned Management officials and staff during the Exit Conference conducted on April 30, 2024, are presented in detail in Part II of the Report.

We request that the recommendations contained in Parts II and III of the Report be immediately implemented and we will appreciate being informed of the action taken thereon within 60 days from receipt hereof pursuant to Section 99 of the General Provisions of the General Appropriations Act of FY 2023 (Republic Act No. 11936), using the Agency Action Plan and Status of Implementation Form to be submitted to the Audit Team.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus, facilitating the submission of this Report.

Very truly yours,

COMMISSION ON AUDIT

By:

ATTY. MARIA CARMINA PAULITA B. JUGUILON PAGAYAWAN
Director IV



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RECORDED BY: *[Signature]* 6/7/20